



after 2015. In our latest edition, we also used ChatGPT for the first time ever.

Q: What were some of the key learnings of the latest study? PSUs, along with mid-caps and small-caps, have found prominent mention... you have said that mid-caps and small-caps can deliver hockey stick returns...

A: One of the learnings is that after two decades of sustained decline, PSU stocks are making a comeback. In 2004, 50% of all wealth created came from PSUs, but then it fell to near-zero, and it has again come back to 10-12%. It is a reversal of trend. The government is giving big orders in sectors like infrastructure, defence, and railways. There is 'Make in India' as well. As far as mid-cap and small-cap stocks are concerned, if someone is looking at 10-12x returns over the next 10 years, then he or she should not be buying large-caps, but [buy] mid-caps.

Q: You have also mentioned that management change is a key move prevalent among those that deliver hockey stick returns...

A: If a company is not doing well, then there should be management change. When there is a new management, there is new energy, new ideas, new thinking and new execution and it can create wealth. But one needs to keep in mind that managing a management

transition successfully is not an easy thing to do.

Q: You have also introduced the concept of economic profit in the latest edition, and said that it is much more important than simple net profit. Can you elaborate a bit on this concept? And is this common globally?

A: It is a new concept that we have introduced in the latest study. In between, there was this concept EVA—Economic Value Added—that became popular but then faded away. While conventionally earnings imply accounting profit, we believe that economic profit captures the true profitability of a company and is a far superior metric. Accounting profit does not factor in the net worth, or the equity used to generate that profit. Simply put, economic profit is accounting profit less equity charge, with equity charge being net worth multiplied by cost of equity.

Our study also showed that portfolios comprising only economic profit companies have a high probability of outperforming the market. It is not that it is globally unheard of, but it still not very common. But the market knows this and is smartly pricing it.

Q: Around two to three years ago, your annual wealth study focussed on digital companies. How do you see that trend, and is there a difference in the way one looks at digital companies and the traditional ones?

A: It is a fact that no other sector has expanded like the digital sector. But it is also a fact that they are yet to achieve profit and then will come real economic profit. For digital companies, there is a huge fixed cost on the operating side because they do not have any physical structure. There is an upfront cost associated with customer acquisition. You may have millions of customers, but those customers are acquired through digital channels. That is a cost. And, hence, we are ready to look at those upfront losses. That is a fundamental shift (in the way one should look at digital companies) with a faith that in the next two to three years, they will make tons of money; and once they start making money, they will be comparable with the biggest and the best companies. **BT**

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